HEALTH LEVEL SEVEN INTERNATIONAL

FINANCIAL STATEMENTS

For the year ended December 31, 2019

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Health Level Seven International
Ann Arbor, Michigan

We have audited the accompanying financial statements of Health Level Seven International (a nonprofit corporation), which comprise the statement of financial position as of December 31, 2019, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Health Level Seven International as of December 31, 2019, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note G to the financial statements, certain agency transactions were erroneously recognized as revenue and expense in the 2018 financial statements. Accordingly, beginning net assets without donor restrictions as of January 1, 2019 were restated to reflect the correction of this error. Our opinion is not modified with respect to this matter.

Respectfully,

Bennett & Associates, CPAs PLLC

Ann Arbor, Michigan
April 15, 2020

	2019
ASSETS	
Cash and cash equivalents	$ 2,284,593
Investments	7,229,024
Accounts receivable	17,912
Grants receivable	194,719
Prepaid expenses	273,882
TOTAL ASSETS	$ 10,000,130
LIABILITIES AND NET ASSETS	
LIABILITIES	
Accounts payable	$ 400,662
Due to affiliates	23,830
Deferred revenue	
Membership dues	1,573,736
Registration and sponsorship fees	6,630
Project funds held for others	1,433,379
TOTAL LIABILITIES	3,438,237
NET ASSETS	
Without donor restrictions	6,561,893
TOTAL NET ASSETS	6,561,893
TOTAL LIABILITIES AND NET ASSETS	$ 10,000,130

	2019
NET ASSETS WITHOUT DONOR RESTRICTIONS	
REVENUES, GAINS, AND OTHER SUPPORT	
Membership dues	
Organizational	$ 2,983,610
International affiliate	178,944
Individual	85,151
Meetings	2,698,811
Education and certification	1,099,741
Federal grant revenue	1,517,454
Project management fees	340,829
Net investment return	749,124
Other revenues, gains, and support	281,400
TOTAL REVENUES, GAINS, AND OTHER SUPPORT	9,935,064
EXPENSES	
Program services	
Membership, meetings and education	2,518,905
Standards development, PMO and tooling	507,985
ONC and FHIR Accelerator projects	2,244,687
	5,271,577
Supporting services	
Management and general	2,549,238
TOTAL EXPENSES	7,820,815
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTIONS	2,114,249
NET ASSETS AT BEGINNING OF YEAR, as previously stated	5,270,019
Prior period adjustment	(822,375)
NET ASSETS AT BEGINNING OF YEAR, adjusted	4,447,644
NET ASSETS AT END OF YEAR	$ 6,561,893

HEALTH LEVEL SEVEN INTERNATIONAL
STATEMENT OF FUNCTIONAL EXPENSES
For the year ended December 31, 2019

	Program Services				Supporting Services		
	Membership, Meetings and Education	Standards Development, PMO and Tooling	ONC & FHIR Accelerator Projects	Total	Management and General	Total	Total 2019
Management fees	$ 775,309	$ 298,196	$ 411,467	$ 1,484,972	$ 735,550	$ 735,550	$ 2,220,522
Legal fees	-	-	-	-	19,299	19,299	19,299
Accounting fees	-	-	-	-	18,078	18,078	18,078
Other professional fees	148,249	183,779	1,159,955	1,491,983	1,155,302	1,155,302	2,647,285
Advertising and promotion	15,067	-	7,666	22,733	75,084	75,084	97,817
Office expenses	192	-	220	412	56,444	56,444	56,856
Information technology	5,231	-	-	5,231	140,481	140,481	145,712
Travel	92,748	-	27,882	120,630	168,416	168,416	289,046
Conferences and meetings	1,038,779	-	344,108	1,382,887	42,076	42,076	1,424,963
Depreciation	-	-	-	-	-	-	-
Insurance	-	-	-	-	8,413	8,413	8,413
Equipment rental	209,469	-	-	209,469	-	-	209,469
Fees and licenses	-	21,010	293,389	314,399	-	-	314,399
Distance eLearning	230,403	-	-	230,403	-	-	230,403
Credit card and bank fees	-	-	-	-	104,324	104,324	104,324
All other	3,458	5,000	-	8,458	25,771	25,771	34,229
Total expenses	$ 2,518,905	$ 507,985	$ 2,244,687	$ 5,271,577	$ 2,549,238	$ 2,549,238	$ 7,820,815

	2019
CASH FLOWS FROM OPERATING ACTIVITIES	
Change in net assets	$ 2,114,249
Adjustments to reconcile change in net assets to net cash from operating activities:	
Realized and unrealized (gain) loss on investments	(605,466)
Change in assets and liabilities:	
Accounts receivable	156,470
Grants receivable	(194,719)
Prepaid expenses	(111,563)
Accounts payable	259,175
Due to affiliates	1,910
Deferred revenue	(477,417)
Project funds held for others	187,504
Net cash from operating activities	1,330,143
CASH FLOWS FROM INVESTING ACTIVITIES	
Purchases of investments	(6,078,803)
Proceeds from sales of investments	5,436,698
Net cash used for investing activities	(642,105)
NET CHANGE IN CASH AND CASH EQUIVALENTS	688,038
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	1,596,555
CASH AND CASH EQUIVALENTS AT END OF YEAR	$ 2,284,593

NOTE A - NATURE OF ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization

Health Level Seven International (HL7) is a not-for-profit organization that strives to improve the manner in which medical information is transmitted between computer systems. The common goal of HL7 members is to simplify the implementation of interfaces between computer applications utilized by different vendors. Since the implementation of the first HL7 health care standard for the exchange of information, the organization has continued to revise and enhance the computer interface standards.

Basis of Accounting

The financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America. Accordingly, revenues are recognized when earned and expenses are recognized as they are incurred.

Basis of Presentation

Net assets, revenues, gains, and losses are classified based on the existence or absence of donor or grantor imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net assets without donor restrictions – Net assets available for use in general operations and not subject to donor (or certain grantor) restrictions.

Net assets with donor restrictions – Net assets subject to donor- (or certain grantor-) imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires, that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make accounting estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents

HL7's cash and cash equivalents consists of cash on hand, checking accounts, and money market accounts. HL7 considers all investments with an original maturity of three months or less to be cash equivalents.

Accounts Receivable

Accounts receivable are stated at the amount management expects to collect on balances outstanding at year-end. Management closely monitors outstanding balances and writes off, as of year-end, all balances deemed uncollectible. No allowance for doubtful accounts was deemed necessary at December 31, 2019.

Investments

Investment purchases are recorded at cost, or if donated, at fair value on the date of donation. Thereafter, investments are reported at their fair values in the statements of financial position. Net investment return/(loss) is reported in the statements of activities and consists of interest and dividend income, realized and unrealized capital gains and losses, less external and direct internal investment expenses.

Property and Equipment

Software and equipment acquisitions are recorded at cost if purchased, or estimated fair value if donated, at the date of donation. Depreciation is provided over the estimated useful lives of the assets and computed on the straight-line method.

Functional Allocation of Expenses

The costs of providing various programs and other activities have been summarized on a functional basis in the statement of activities and statement of functional expenses. Expenses are summarized and categorized based upon their functional classification as either program or supporting services. Specific expenses that are readily identifiable to a single program or activity are charged directly to that function. Certain categories of expenses are attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. The expenses that are allocated include management fees, which are allocated on the basis of estimates of time and effort.

Advertising

Advertising costs are expensed as incurred.

Income Taxes

HL7 is exempt from federal income taxes under Section 501(c)(6) of the Internal Revenue Code and has been classified as other than a private foundation. However, income, if any, from certain activities not directly related to HL7's tax-exempt purpose is subject to taxation as unrelated business income.

Revenue Recognition

On January 1, 2019, HL7 adopted 2014-09, *Revenue from Contracts with Customers* (Topic 606). The ASU and all subsequently issued clarifying ASUs replaced most existing revenue recognition guidance in U.S. GAAP. The ASU also required expanded disclosures relating to the nature, amount, timing, and uncertainty of revenue and cash flows arising from contracts with customers. HL7 adopted the new standard effective January 1, 2019, the first day of the organization's fiscal year, using the full retrospective method.

The standard's core principle is that an entity will recognize revenue when it transfers promised goods or services to customers in an amount that reflects the consideration in which the entity expects to be entitled in exchange for those goods or services.

HL7's contracts generally do not contain variable consideration, contingent revenue or warranties, and contract modifications are generally minimal. Based on the Company's evaluation process and review of its contracts with customers, the timing and amount of revenue recognized previously is consistent with how revenue is recognized under the new standard. No changes were required to previously reported revenues as a result of the adoption.

Education and Certification

Performance obligations related to education and certification revenue is transferred to the customer at a point-in-time as training is completed. The principal terms of sale are completion of training. Payment is due in full at the beginning of training; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Federal Grants

Federal grants are considered conditional contributions. The principle condition attached to these awards is that the HL7 must incur costs in accordance with the Office of Management and Budget's uniform guidance before costs can be reimbursed. Total amount promised under these grants for which conditions have not yet been fulfilled is $1,442,454 at December 31, 2019. HL7 exercises judgment regarding what constitutes a reimbursable cost per compliance with federal regulations.

Meetings

Revenue from meetings consists primarily of participant registrations and exhibitor fees. Performance obligations related to meetings is transferred to the customer at a point in time, and is recognized at the conclusion of the meeting. Payment is generally due in full prior to the meeting; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Memberships
Performance obligations related to membership revenue are transferred to the customer over time. Revenue is recognized ratably over the term of the membership, which is typically one year, with memberships beginning at various points during the calendar year. Payment is due in full at the beginning of the membership; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Project Management Fees
Performance obligations related to project management fee revenue are transferred to the customer over time. Revenue is recognized ratably over the term of the contract as HL7 satisfies the promised obligations. Payment terms vary from payments due up front to payments due per an agreed upon payment schedule; therefore, contract assets and contract liabilities may exist at year end.

Contract terms vary, therefore, HL7 may exercise judgment based on individual contract terms whether it has satisfied its performance obligations and revenue recognition.

Disaggregation of Revenue

	2019
Over time:	
Memberships	$ 3,247,705
Project management fees	340,829
	$ 3,588,534
Point in time:	
Education and certification	$ 1,099,741
Meetings	2,698,811
	$ 3,798,552

Contract Liabilities
Contract liabilities are shown on the statement of financial position as deferred revenue.

Subsequent Events
Subsequent events have been evaluated through April 15, 2020, the date the financial statements were available to be issued.

NOTE B - LIQUIDITY AND AVAILABILITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of December 31, 2019, comprise the following:

Cash and cash equivalents	$ 2,284,593
Investments	7,229,024
Accounts receivable	17,912
Grants receivable	194,719
Less: project funds held for others	(1,433,379)
	$ 8,292,869

None of the financial assets are subject to donor restrictions that make them unavailable for general expenditure within one year of the statement of financial position date.

As part of its liquidity management plan, HL7 has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations become due. It invests cash in excess of daily requirements in stocks, government securities, mutual funds, certificates of deposit, and money market accounts.

NOTE C - FAIR VALUE MEASUREMENTS

Fair value refers to the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants in the market in which the reporting entity transacts such sales or transfers based on the assumptions market participants would use when pricing an asset or liability. Assumptions are developed based on prioritizing information within a fair value hierarchy that gives the highest priority to quoted prices in active markets (level 1) and the lowest priority to unobservable data (level 3). A description of each category in the fair value hierarchy is as follows:

- Level 1 – unadjusted quoted market prices for identical assets and liabilities in an active market that HL7 has the ability to access
- Level 2 – inputs, other than the quoted prices in active markets that are observable either directly or indirectly
- Level 3 – inputs based on prices or valuation techniques that are both unobservable and significant to the overall fair value measurements.

From time to time, changes in valuation techniques may result in reclassification of an investment's assigned level within the hierarchy.

Investments at fair value at December 31, 2019 are summarized as follows:

	Total	Quoted Prices in Active Markets for Identical Securities (Level 1)	Significant Other Observable Inputs (Level 2)
Certificates of deposit - brokered	$ 3,538,536	$ -	$ 3,538,536
Publicly held stocks, including domestic, international and preferred	3,138,077	3,138,077	-
US Government securities	494,043	494,043	-
Mutual funds and exchange traded funds	58,368	58,368	-
Total	$ 7,229,024	$ 3,690,488	$ 3,538,536

The following is a description of the valuation methodologies uses for investments measured at fair value:

- Certificates of deposit are valued by the custodian based on using pricing models based on credit quality, time to maturity, stated interest rates, and market-rate assumptions.
- Publicly held stocks and government securities are valued at quoted market prices.
- Mutual funds and exchange traded funds are valued at the daily net asset value (NAV) reported by the fund, and are considered readily determinable.

HL7 believes its valuation methods are appropriate, the use of different methodologies or assumptions to determine fair value could result in a different fair value measurement at the reporting date.

Investment Return

The composition of investment return on HL7's investment portfolio for the year ended December 31, 2019 is as follows:

	2019
Without donor restriction:	
Interest and dividends	$ 186,736
Net realized and unrealized gain (loss) on investments	605,466
Total investment return	792,202
Less investment fees and expenses	(43,078)
Net investment return on statement of activities	$ 749,124

NOTE D - ACCOUNTS RECEIVABLE

Accounts receivable are considered fully collectible within one year, and consists of the following aged balances at December 31, 2019:

Current	$ 17,415
Over 90 days	497
	$ 17,912

Bad debt expense for 2019 was not significant.

NOTE E - CONCENTRATIONS

Concentration of Credit Risk in Financial Instruments

As of December 31, 2019, HL7 maintained its cash balances at one financial institution and one brokerage firm. The funds on deposit at the financial institution are insured by the Federal Deposit Insurance Corporation up to $250,000. The funds on deposit with the brokerage firm are insured by the Securities Investor Protection Corporation up to $250,000 per entity. At December 31, 2019, HL7 had uninsured cash balances of $1,845,893.

As noted on page 3, at yearend HL7 was holding $1,433,379 of project funds for others (e.g., ONC, Da Vinci, Argonaut and other FHIR Accelerator projects) for whom HL7 is not authorized to invest their funds and therefore produce a larger uninsured cash balance.

NOTE F - RELATED PARTY TRANSACTIONS

Honoraria

Several members of HL7's board of directors serve as speakers at its educational programs, and some are paid honorariums for their services. Honorarium payments to these individuals totaled $4,338 for 2019.

Management Fees

Since 1991 HL7 has contracted with a third party for-profit association management company to manage its operations. Under the agreement, HL7 pays a fixed monthly management fee, and an incentive based on achieving certain metrics. For the year ended December 31, 2019, HL7 paid the third-party management company a total of $2,220,522, which includes an incentive payment of $100,000. The management company is majority owned by HL7's executive director.

NOTE G - PRIOR PERIOD ADJUSTMENT

During the year ended December 31, 2019, Health Level Seven International discovered errors that resulted in the overstatement of its net assets and understatement of funds held for others. Funds for various projects received and disbursed by HL7, of which HL7 had no variance power had been reported as HL7's revenue and expense. This was corrected in 2019 retrospectively to January 1, 2019. The opening balance as of January 1, 2019 of net assets without donor restrictions has been decreased by $822,375 to reflect the correction.

NOTE H - SUBSEQUENT EVENTS

At the date of issuance of these financial statements, financial markets have experienced significant declines due to the coronavirus pandemic, affecting the value of HL7's investment portfolio. The ultimate effects of the pandemic on HL7's investments and revenue sources cannot be predicted.

Other potential impacts to HL7 include disruptions or restrictions on the organization's ability to work which may include restrictions on its ability to provide services and perform necessary administrative tasks. Although management continues to monitor and assess the effects of the coronavirus pandemic on its operations, the ultimate impact of the pandemic is highly uncertain and subject to change.